

## **2025 AGM**

### **Board of Directors Report – 2024**

#### **Introduction**

GMBCU is 100% owned and operated by GMB members and regulated by the FCA (Financial Conduct Authority) and the PRA (Prudential Regulatory Authority). GMBCU has been very successful in recent years growing to become part of a regulatory peer group classed as large Credit Unions with total assets above £12 million and more than 10,000 members.

We are a not for profit business, which means being owned by and responsible to our members. We have no external investments and need trading surpluses to share with our members and grow our business. Our mission is to provide GMB members with a unique, ethical, fair and affordable financial service. However, we must work hard to get the correct balance between retaining sufficient surpluses to be financially independent and regulatory strong whilst sharing our success with members through competitive rates on savings and affordable loans.

We have all been through tough times for the last few years and 2024 was another challenging year when consumer confidence in the future UK economy remained low. Research from the consumer group Which? estimated that 14.3 million households (i.e. 51% of households) made at least one adjustment to cover essential spending such as utility bills, housing costs, groceries. Adjustments include cutting back on essentials, dipping into savings, selling possessions or borrowing.

GMB members are worried about their future household finances and GMBCU is here to support our members for today and in the longer term. We need to look to the future and plan. One thing that has become more apparent in this challenging economy is the

importance of GMB members developing good money habits and saving and we will do everything we can to promote this culture.

The GMBCU Board is here to provide leadership and a strategy for a better future . We are fully aware of the increased challenges and risks of trading in the hostile operating enviroment which will prevail for much of the next three year planning period. Concern about the future is understandable, however, we will adapt and the climate will improve.

Our regulator the PRA (ie the Bank of England) has recently reminded UK Credit Unions of their priorities for 2025 which are:

- Risk Management & Governance
- Operational Resilience
- Data control and management

The Board will ensure that we continue to address those regulatory priorities in parallel with our continued commitment to deliver digital service improvements for members. This is reflected in our business plan 2025-2027

## **Business Plan – Strategic Aims & Objectives**

The GMBCU Board remains committed to sustainable growth and in the economic climate which is likely to prevail for much of this three-year plan and we will continue to plan our progress with great care.

**The Board's has four strategic aims for the period of our next business plan :**

-  To increase the operational resilience of GMBCU and maintain a strong balance sheet whilst complying with key regulatory ratios.
-  To sympathetically support the financial wellbeing of GMB members by providing fast, fair, flexible savings and loan services. Provide access to other resources which will enhance our members financial resilience.
-  To embed risk management and compliance into our daily operational routines.
-  Develop and maintain strong Governance and closer working relationships with our key stakeholder GMB Trade Union.

**To support these strategic aims the Board has the following objectives:**

-  To improve existing and introduce new internal controls and reporting channels where appropriate. Through education and training, ensure that GMBCU has a continuous and clear understanding of its risk appetites and compliance responsibilities.
-  To effectively implement a cohesive digital service platform and digital marketing programme whilst remaining focused on improving the financial resilience and wellbeing of GMB members.
-  To grow our membership by working in partnership with GMB regionally and nationally to promote new savings and loans services in a consistent manner through shared compliant digital marketing assets.
-  To expand our Board agreed strategy on Customer Duty and provide GMB members with an excellent service which will include a mixture of digital and personal support.

## **Looking ahead to a brighter future**

As we move into our 26th trading year GMBCU remains positive about the future and our plans reflect the enormous opportunity we have to grow our membership nationally . Finally, the GMBCU Board would like to thank our staff who have again gone the extra mile to support GMB members; something which is reflected in our excellent Trustpilot rating.

**Margaret Fennell**  
**Chair & Board Director**

**11 March 2025**

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